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ASML Holding NV | Europe

As the Dust Settles 2Q26

Post earnings, we caught up with the company again. It’s not just about EUV unit demand. We think product-led pricing, immersion demand, and capacity upside support the medium-term setup. We keep ASML on an OW rating and price target of €1,930.

Key Takeaways

- 3800F/3800G launches create the clearest ASP catalysts.
- Immersion benefits from higher DRAM attach, though USD growth may track EUV’s c.25% CAGR.
- Lam is positioned to outgrow WFE; KLA may undergrow, while ASML balances DRAM/EUV strength against China headwinds.
- Existing clean-room capacity can exceed the announced 30% uplift.
- Selective 3D-integration M&A possible.

Pricing/value capture: Management sees new EUV product introductions – not necessarily broad-based repricing – as the principal ASP lever, with implementation likely phased by customer and product. The 3800F in 2027 and 3800G in 2029 are probably the clearest catalysts. Given the 3800F’s higher throughput improvement, a value-capture uplift appears plausible, versus consensus EUV/immersion ASP growth of only c.5% into 2027. Management pushed back on market debate of a blanket c.10% China price increase. The 3800E was not discussed in detail; we retain our prior view that its near-term contribution is more margin-led as production maturity improves.

Immersion: Growth is supported by structurally higher DRAM attach rates – maybe c.2:1 on greenfield fabs versus c.1.2–1.3:1 for logic – and demand-led capacity expansion. At the last print, management highlighted c.30% capacity growth, although immersion’s USD growth may broadly track EUV’s c.25% CAGR: EUV benefits from faster productivity and stronger pricing, while immersion productivity gains are slowing as water-based lithography approaches are approaching the upper end of the plausible physics.

Quick Peer Group Comparisons: During this reporting season, US peer Lam (covered by our colleague Shane Brett) offered a strong 2027 growth narrative, with exposure across DRAM, NAND, logic and advanced packaging and no obvious demand gaps. Key levers include TSV etch, the HBM3-to-HBM4 transition, and ALD share gains, as well as stronger-than-expected NAND capex. Lam seemed to signal they could outgrow WFE. KLA (also covered by Shane) is more logic-weighted, with lower memory intensity, less pronounced pricing upside and margin headwinds. The team think they will undergrow WFE in 2026 but outgrow WFE in 2027, partially as a result of the magnitude of the underperformance in 2026, and even then there are

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ASML Holding NV (ASML.AS, ASML NA)

Top Pick

ADRASML.O				
Technology - European Semiconductors Netherlands				
Stock Rating	Overweight			
Industry View	In-Line			
Price target	€1,930.00			
Shr price, close (Jul 30, 2026)	€1,440.00			
52-Week Range	€1,741.00-587.80			
Mkt cap, curr (mn)	€572,580			
Net debt (12/26e) (mn)*	€(4,255)			
EV, curr (mn)*	€563,649			

* = GAAP or approximated based on GAAP

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
Sales / Revenue (€mn)**	32,667	43,091	50,887	56,751
EBITDA (€mn)**	12,367	18,432	22,613	25,541
EBIT (€mn)**	11,341	17,294	21,392	24,179
EPS (€)**	24.81	38.34	49.00	56.42
Prior EPS (€)**	-	-	-	-
ModelWare EPS (€)	24.81	38.34	49.00	56.42
P/E**	37.1	37.6	29.4	25.5
EV/revenue*	10.7	13.2	11.0	9.6
EV/EBITDA**	28.3	30.8	24.8	21.3
EV/EBIT**	30.8	32.9	26.2	22.5
DPS (€)	6.57	6.41	6.41	6.41
Div yld (%)	0.7	0.4	0.4	0.4
FCF yld ratio (%)**	3.1	1.3	2.4	4.1
RNOA (%)**	108.8	166.1	93.4	84.0
ROE (%)**	52.2	76.2	68.5	52.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
* = GAAP or approximated based on GAAP
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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risks. ASMI is benefitting from significant wallet gains in the transition to 2nm and 1.4nm, resulting in high confidence that the company should be able to outgrow the market despite industry high (77%) foundry/logic exposure. By contrast, ASML retains attractive DRAM/EUV exposure offset by slowing China sales (2026).

Capacity expansion: The announced 30% increase is demand-led and achievable largely within the existing clean room. It is not a hard ceiling: further upside is possible through supply-chain scaling, better component storage and operating efficiency. Greater customer visibility into 2028–29 would allow ASML to raise output earlier; management indicated it would not turn away incremental demand and has not identified a firm upper limit for the current facility.

Use of cash: During the Q2 NDR cycle, comments were made about possible use of cash. Firstly, we note that buybacks have accelerated to c.\$5m per day and management suggest these are likely to run at that pace through the remainder of the quarter. Secondly, M&A remains possible. This could be either in panel lithography or around enabling better productivity as 3D chip integration moves to the front-end wafer fabrication. ASML sees scope to apply its stage technology to maybe reduce chip-to-chip bonding cycle time and cost. This centres on the company's technology in stage movement and accuracy. No clear targets were discussed but we infer that management would consider acquisitions that accelerate expertise, close capability gaps and lower barriers to entry, rather than pursuing scale for its own sake.

Valuation Methodology and Risks

ASML Holding NV (ASML.AS)

We value ASML at a P/E multiple of 35x, at the upper end of our usual cycle peak valuation range of 30-35x. This is in line with historical peaks, but we note upside potential from significant foundry capex as well as continued rapidly rising memory prices. Applying a 35x P/E multiple to our €56.42 FY28 EPS_e gives us a PT €1,930.

Risks to Upside

- Meaningful ramp-up in logic/foundry spend with nrs 2 and 3 returning to investment mode
- Higher HBM/DRAM spend than expected
- Servicing margins expanding
- Tech sovereignty programmes crystallising

Risks to Downside

- Materially weaker end-market demand (foundry / DRAM especially)
- Strong inflation cycle and Chinese weakness driving slowdown and more order push-outs
- Absent High NA adoption (DRAM 2028+) inhibiting multiple

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(as of June 30, 2026)

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Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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ASML Holding NV (ASML.AS) - As of 07/31/26 GMT in EUR
Industry : Technology - European Semiconductors



Stock Rating History: 8/1/21 : O/I; 2/9/22 : NA/I; 11/1/22 : NA/NR; 11/7/22 : O/A; 9/20/24 : E/A; 10/17/24 : E/I; 9/22/25 : O/I

Price Target History: 7/21/21 : 720; 9/23/21 : 800; 2/9/22 : NA; 11/7/22 : 650; 11/14/22 : 700; 2/13/23 : 770; 10/12/23 : 700; 1/16/24 : 725; 1/19/24 : 750; 1/25/24 : 875; 2/27/24 : 1000; 6/28/24 : 1100; 7/18/24 : 1000; 9/5/24 : 925; 9/20/24 : 800; 10/17/24 : 680; 4/24/25 : 640; 7/9/25 : 660; 7/17/25 : 600; 9/22/25 : 950; 10/16/25 : 975; 11/26/25 : 1000; 1/15/26 : 1400; 6/2/26 : 1660; 7/7/26 : 1830; 7/16/26 : 1930

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Technology - European Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/31/2026)
Lee Simpson		
ASML Holding NV (ASML.AS)	O (09/22/2025)	€1,434.20
Infineon Technologies AG (IFXGn.DE)	O (02/06/2025)	€61.67
STMicroelectronics NV (STMPA.PA)	O (03/26/2026)	€45.68
Nigel van Putten		
Aixtron SE (AIXGn.DE)	E (05/25/2023)	€36.27
ASM International NV (ASMI.AS)	O (06/19/2024)	€801.20
BE Semiconductor Industries NV (BESI.AS)	O (11/07/2022)	€198.25
Melexis N.V. (MLXS.BR)	E (02/05/2026)	€68.30
Nordic Semiconductor ASA (NOD.OL)	E (02/10/2025)	NKr 158.70
Soitec SA (SOIT.PA)	O (03/26/2026)	€104.00
VAT Group AG (VACN.S)	E (03/21/2025)	SFr 602.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.